

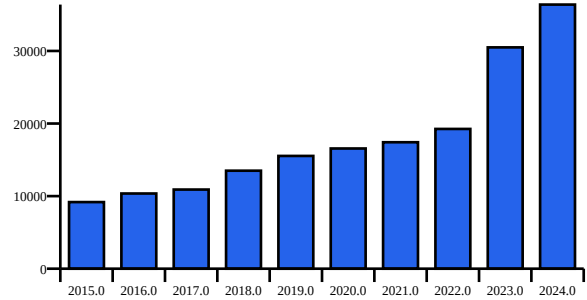
Shriram Finance Ltd

SHRIRAMFIN | Financials

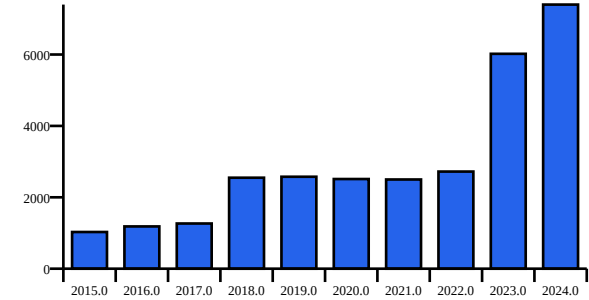
Revenue 36,388	Net Profit 7,399	ROE N/A
ROCE N/A	Debt / Equity N/A	CFO Quality -2.61

10-Year Financial Performance

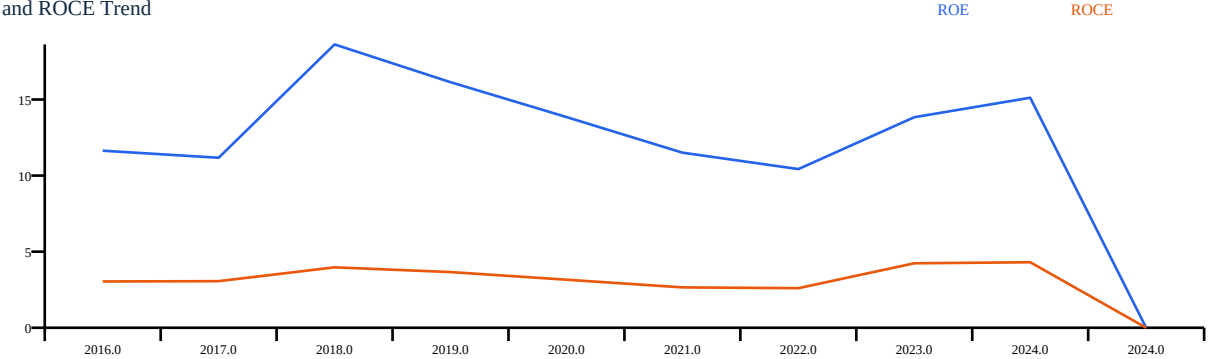
Revenue



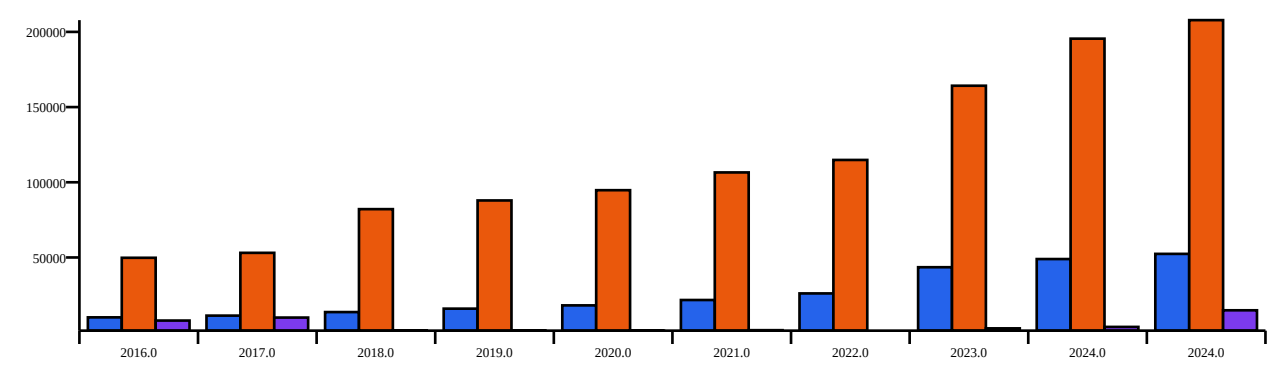
Net Profit



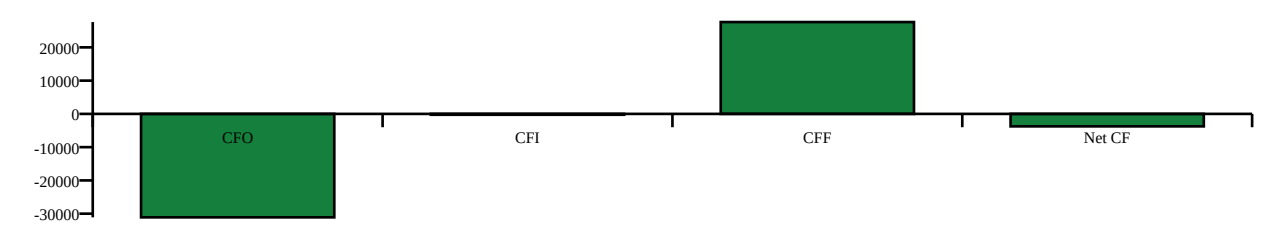
ROE and ROCE Trend



Balance Sheet Composition



Latest Year Cash Flow



Pros • Return on equity improving for 3 consecutive years shows strengthening business quality • Revenue growing slower than profits shows improving operating leverage and scale benefits • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum • Net profit compounding at above 20% over 5 years creates significant shareholder value • Operating profit margin above 25% indicates strong pricing power and cost discipline	Cons • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility • Free cash flow negative for 3 consecutive years raises concern about cash generation quality • Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital • Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
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Capital Allocation	Growth Funded by Debt
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